AAJ Wardrobe

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AAJ Wardrobe is E- Commerce platform which offers a wide range of clothing. Their store is located in the heart of the city of Calgary.
Additionally, AAJ Wardrobe has its own website allowing customers to shop online and enjoy home delivery services.

Problem Statement- AAJ Wardrobe an e-commerce clothing s tore aims to boost its business profits to $500,000 within the next two years.

KPIs

- Product Return Rate
- Customer Engagement Time
- Mean Delivery Time
- New Customer Acquisition
- Customer Retention Rate

Product Return Rate

Why ?

In the clothing industry, sizing issues and product quality can lead to high return rates that impacts profitability

How is KPI measured?

(Number of returned products / Total products sold) × 100
E-commerce platform's analytics or return management system automatically track and report return transactions.

Cost/Efforts

Low to moderate.
Return data is often tracked automatically by e-commerce platforms and fulfillment centers.

Targets

Reduce the return rate to 10% in next quarter.

Customer Engagement Time

Why?

Longer site visits can indicate customer engagement and interest in browsing multiple items or categories.

How is KPI measured?

Total time spent on the website by all visitors / Number of visitors
Web analytics tools such as Google Analytics or Hotjar measure and report the duration of user interactions on the website.

Cost/Efforts

Low to moderate .
Web analytics tools like Google Analytics or HotJar track this automatically.

Target

Increase the average customer engagement time by 25% in 2 months.

Mean Delivery Time

Why?

Consistent, reliable delivery time enhances customer trust, while long or unpredictable delivery times may drive customers to competitors.

Cost/Efforts

Moderate. Requires integration between the shipping carriers and logistic systems. E-commerce platforms have automatic order tracking functionality.
Effort- Collect and analyze data from various sources (warehouses, customer feedback)

How KPI is measured?

Time between the order being placed and the order being delivered. Shipping and logistics management systems track and aggregate delivery times from order placement to receipt.

Target

Reduce mean delivery time by 30-35% in 6 months.

New Customer Acquisition

Why?

It is vital for business growth and shows how well marketing efforts are attracting new buyer.

How KPI is measured?

Marketing and CRM tools track new customer registrations and first-time purchases, providing insights into acquisition rates.

Cost/Efforts

Moderate to High. Data comes from e-commerce and marketing platforms (google analytics, shopify, sponsored ads, influencer marketing)

Target

Aim for 10-20% growth in new customer acquisition quarterly.

Customer Retention Rate

Why?

Retention rate is crucial because retaining existing customers is more cost-effective than acquiring new ones, and loyal customer tend to spend more time.

How KPI is measured?

Customer relationship management (CRM) systems and e-commerce platforms monitor repeat purchase behavior to calculate retention rates.

Cost/Efforts

Low to moderate. Data is readily available from customer purchase history and analytics platforms.

Target

Aim to achieve a retention rate of 60-65%

Thank you!